

It's clear that these two terms are closely linked but refer to very different things. So, how secure are they?

Is the technology secure?

One of the most useful aspects of blockchain technology is that the transaction data recorded to it cannot be manipulated. Because the data is decentralised and on a distributed ledger, the system relies on the data being correct across each user's version. This makes it extremely difficult for cyber criminals to target it. Some experts believe that the technology could be used to act as a cyber security shield. There are many opportunities for blockchain to be implemented, and a wide variety of companies are exploring options for increased data privacy and online anonymity.

Cryptocurrencies based on these systems can be considered secure in many ways. Because both a public and private key is required to access them, and since the technology is hard to hack, the digital currencies themselves cannot be altered. However, there have been many cases of digital coins being stolen from exchanges and digital wallets. It's common for people to get scammed into sending their coins to fraudulent addresses. This makes it incredibly difficult to recover them. Other examples have seen websites being hacked and the coins they store being routed to a different wallet. The risk of this kind of digital crime is greatly reduced if you use a hardware wallet. This is a physical device in which you can safely store your digital coins.

Ultimately, both technologies are incredibly secure. However, thefts of cryptocurrencies are common, particularly

when users aren't careful. It's not the digital currencies themselves that get hacked, but rather, the exchanges and wallets in which they are kept.

Blockchain and cryptocurrency security

The financial sector has been shaken up of late, all thanks to these innovative systems. However, their unregulated and decentralised nature has led many to question the security of blockchain and cryptocurrencies. This fear seems to be unfounded, particularly when the fundamentals of the technologies are examined. The very nature of the blockchain means that it's incredibly difficult to tamper with. It relies on many different instances of the same information to be consolidated and checked. The implications and applications of this are great, and we'll likely see much broader adoption of the blockchain in the near future.

Cryptocurrencies have been at the centre of a media storm. There have been stories of instant riches, as well as significant losses. However, the stories of stolen or lost funds are not an indication of a security flaw in the technology. Instead, it shows that both users and websites that store the digital assets need to be constantly vigilant. There are a number of ways to secure cryptocurrencies, but being aware of the dangers is essential. 

 By: Shakshi Talwar

The author is passionate about helping people in all aspects of Internet marketing. She enjoys holidays, travelling and generating business ideas.

OSFY Magazine Attractions During 2018-19

MONTH	THEME
March 2018	Databases management and Optimisation
April 2018	Docker and containers
May 2018	Open Source Programming (Languages and tools)
June 2018	Open Source Firewall and Network security and Monitoring
July 2018	Mobile App Development and Optimisation
August 2018	AI, Deep learning and Machine Learning
September 2018	Open Source and IoT
October 2018	BigData, Hadoop, PaaS, SaaS, IaaS and Cloud
November 2018	Open Source on Windows
December 2018	Web Development
January 2019	Data Security, Storage and Backup
February 2019	Best in the world of Open Source (Tools and Services)